CITY OF OPA-LOCKA
"The Great City"

CLERK'S ACTION SUMMARY MINUTES
SPECIAL COMMISSION MEETING
Wednesday, October 30, 2019
5:30 PM
Sherbondy Village Auditorium
215 Perviz Avenue
Opa-locka, FL 33054

1. CALL TO ORDER:

Mayor Matthew A. Pigatt called the meeting to order at 5:30 p.m. on Wednesday, October 30, 2019 at Sherbondy Village Auditorium, 215 Perviz Avenue, Opa-locka, Florida.

2. ROLL CALL:

The following members of the City Commission were present: Commissioner Alvin Burke, Vice Mayor Chris Davis, Commissioner Joseph L. Kelley and Mayor Matthew A. Pigatt. Also in attendance were: City Manager John E. Pate, Assistant City Attorney Candice Cobb and City Clerk Joanna Flores. Commissioner Sherelean Bass arrived at 5:34 p.m.

3. INVOCATION:

The invocation was delivered by Commissioner Joseph L. Kelley.

4. PLEDGE OF ALLEGIANCE:

The Pledge of Allegiance was recited in unison.

5. PUBLIC INPUT:
(Agenda Items Only)

6. RESOLUTIONS:

a) A RESOLUTION OF THE CITY COMMISSION OF THE CITY OF OPA-LOCKA, FLORIDA, RESCINDING RESOLUTION NO. 19-9710; AUTHORIZING THE CITY MANAGER TO EXECUTE AN EMERGENCY AGREEMENT WITH TRIMERGE CONSULTING GROUP, P.A., FOR TEMPORARY PROFESSIONAL ACCOUNTING STAFFING SERVICES AS SET FORTH IN EXHIBIT "A" HERETO; PROVIDING FOR INCORPORATION OF RECITALS; PROVIDING FOR AN EFFECTIVE DATE. *Sponsored by City Manager*

The above resolution was ready by title by Attorney Cobb.

It was moved by Vice Mayor Davis, seconded by Commissioner Burke for discussion.

Commissioner Burke asked for a legal opinion as to whether there would be a problem with a contracted individual supervising city employees?

Attorney Cobb said that there was previous discussion on this matter and Attorney Weeks was not concerned about it. There are multiple factors that the courts would be looking into and supervising would be one of several. Also with the contracted individual delegating out responsibilities that's more of a less personal relationship and that is what the court is going to look at. Therefore, if it's something that the individual can delegate out then they are not going to be counting that as more so as she is an actual employee of the city.

Vice Mayor Davis stated that this agreement is a temporary solution and the goal is to find a Finance Director later on so this is not something that is set in stone. He reiterated that this is a temporary solution to provide day to day management. To his understanding because he had the opportunity, to ask the attorney, it was her professional opinion that there wasn't a conflict.

Commissioner Kelley said he raised that question in the first agreement because there were some bullets points that led to that very concern. In looking at the bullet points, they look redefined in a sense. He referred to the second and seventh bullet points in Exhibit A of the agreement with Trimerge. The second bullet point talks about evaluations but then it says "makes recommendation to the City Manager regarding hiring and firing". He said that ultimately he will believe that the City Manager will have the final say so as oppose to the firm. If that is the correct interpretation, then the question becomes how much weight that recommendation carries. The other bullet point reads "supervise the operations and activities" and he heard the Attorney's response but he don't know if he quite understood it because how do you supervise without giving some kind of direction but I am going to assume that that is not a problem.

Attorney Cobb clarified that what she said was with this individual supervising and delegating out certain tasks that shouldn't be a problem or conflict because the individual has to actually do the work or delegate out so if it's something that she can't delegate out that's where you get into the area of her being an employee.

Commissioner Kelley said he was really not referencing this individual as an employee as much as he is the function of overseeing or giving directives. Supervising to him means that he can tell this employee to do this or do that with all of the accounting functions listed because that fits in any area in the department. That's why his question was whether there was a problem with it, not delegating. He asked the Attorney if she is saying that it is fine for this individual to supervise.

Attorney Cobb replied, "yes". She stated, as one of the commissioners' pointed out, that this is a limited relationship and supervision is just one of the factors that the courts will be looking into. The supervision shouldn't be an issue because she is not the person controlling everything, but the person working with the city. This individual is not the person necessarily handing out all of the final say so and everything, she is only

supervising her professional responsibility. In order for her to maintain her professional responsibility, she is going to have to supervise the different task that the employees are doing.

Although Commissioner Kelley heard the Attorney's interpretation, he said he didn't agree with it because supervising means you have to give a directive and be able to respond back as to whether or not that function has been carried out. However, legal has stated that it is legal to do and she is the Attorney.

He further weighed in on bullet point #3 from the Exhibit which states that the Manager, obviously when it comes to hiring and firing, but to him the Manager has to be more involved in the operation activities and he needs to be because that is a big department in the sense of different people; there are not a lot of people, but there are a lot of functions.

Manager Pate acknowledged the concerns as it relates to the agreement; however, the City Manager's Office has full visibility and oversight of the Finance Department. He said he is not a certified public accountant so he needs someone with the technical knowledge to advise him in regards to the department operations and the running of the department. At the end of the day, hiring and firing, personnel decisions, even time off requests, overtime requests all come across his desk and Mrs. Lazarre will not be involved in any of that personnel process. The only process that she will be involved in is the process of accounting and supervising accounting operations.

Mayor Pigatt thanked the City Manager for bringing this to their attention. The city is in a financial crisis and not having a Finance Director, Budget Administrator, and Grant person in place in the department can be challenging especially to the City Manager who is just coming on board as a manager. So moving on this item will make sure the city has a Certified Public Accountant that can analyze the department and ensure that the day to day operations of the Finance Department are taken care of.

He further said he has a few concerns to make sure this contract will ensure and meet the city's objective when it comes to the completion of the audits in a timely manner, the development of the Five Year Recovery Plan, assisting and addressing all the operational audit findings, and to ensure the city has a respectable budget amendment process as well as the beginning of the budget process until the city is able to get the required staff or whatever options they decide to move forward with. He asked will this contract address each of those items and if not, which one, and is there a need for a separate agreement for any of those.

Manager Pate advised that the contract as written will address all those requirements as stated by the Mayor.

As long as those overall objectives are being addressed, Mayor Pigatt said he did not have an issue with this item as it stands due to the fact that it is a temporary contract to address the gap in leadership in the Finance Department.

There being no further discussion, the motion passed by a 5-0 vote.

Commissioner Burke	Yes
Vice Mayor Davis	Yes
Commissioner Kelley	Yes
Commissioner Bass	Yes
Mayor Pigatt	Yes

b) **A RESOLUTION OF THE CITY COMMISSION OF THE CITY OF OPA-LOCKA, FLORIDA, APPROVING THE CLOSURE OF ALL BANK ACCOUNTS HELD BY WELLS FARGO BANK; APPROVING TRANSFER OF MONIES REMAINING IN ACCOUNTS TO CITY NATIONAL BANK; PROVIDING FOR INCORPORATION OF RECITALS; PROVIDING FOR AN EFFECTIVE DATE.** *Sponsored by City Manager*

The above resolution was read by title by Attorney Cobb.

It was moved by Commissioner Burke, seconded by Vice Mayor Davis for discussion.

Commissioner Burke asked why is this resolution necessary.

Manager Pate explained that during the assessment of the Finance Department and its operations, it was directed that the city look at all of its open bank accounts. When the city switched to City National Bank from Wells Fargo, they left accounts open with active balances in them and there are service charges that are charged to those accounts at $14,000 per year. The city is not utilizing Wells Fargo anymore and it would be fiscally irresponsible to keep those accounts open and continue to pay $14,000 per year in fees. Secondly, he said he does understand that Wells Fargo is the community bank of the city but he did open up the conversation to them about stopping the charges and keeping the accounts open. The bank basically stated that the city would have to redevelop a financial relationship with them as far as bank accounts in order for them to consider waiving the yearly fees of which $7,000 is paid on a bi-annual basis. This will actually stop the upcoming $7,000 payment from going through. This is an example of the lack of controls and checks and balances in place in regards to the city. These are additional accounts that have to be audited by an auditor when it is not necessary for these accounts to be audited when they could just be transferred to City National Bank. This will stop the gap of $14,000 which is not a lot to some but every penny counts in the city's current situation. As well as being able to consolidate the accounts, if necessary.

Vice Mayor Davis asked, have all 18 bank accounts been closed?

Manager Pate explained that the bank accounts are still open; however, the resolution will provide authorization to close the bank accounts and transfer the monies that are in the accounts to City National Bank so that the city can stop incurring the service fees on the accounts.

Vice Mayor Davis asked, is there any particular reason why the city chose City National Bank as its banking institution.

Manager Pate stated that it is his belief that the city utilizes City National Bank because they are the bank that provided the bond and loan that assisted in the purchase of the current complex. He also believes that a part of the agreement was for the city to move all of the it's institution business to them as a part of the overall scheme of things and this is based on his belief and what he's heard.

Commissioner Kelley said since the city is closing all 18 bank accounts with Wells Fargo, would that get it any closer to getting the money released that City National Bank is holding?

Manager Pate stated that City National Bank is holding money and they are working on that issue. This would not get the city any closer, this just stops Wells Fargo; therefore, this is not a deal breaker or even something that City National is aware of. This is something that the city is doing internally just to clean house and make sure the accounts are in order.

Commissioner Kelley said he raised that question because he's heard that in the past that the city is banking with other institutions so he was wondering if that was something City National Bank had pushed forward. The other concern regarding this issue is that many of the city employees cash their checks at Wells Fargo Bank so how is that going to work once the city closes the accounts. Will the city maintain that or are there any service fees for city employees going there now to cash their checks since City National Bank is the city's primary bank?

Manager Pate stated that Wells Fargo Bank is aware that City National Bank is the city's primary bank and based on the increase made, he doesn't see there being any issue with employee checks being cashed. Also, the employee checks that are cashed are not Wells Fargo checks, they are checks from another financial institution operating through ADP, but he doesn't foresee an issue. Again, the city did attempt to keep the accounts open that had money in them if Wells Fargo would waive the $14,000 annual service fees and they got pushed back on that because the city went to City National Bank and they felt it wasn't a feasible deal.

He further stated that quite reasonable and honestly, these accounts should have been closed during the audit process as the audits went on, which lack of audits should have caught these open balances and ensured that these accounts were consolidated.

Commissioner Kelley said he didn't have a problem with closing the accounts, he was just wondering since many of the city's employees go there and he wants to make sure it doesn't have adverse effect on any of that process because everyone can't make it to City National Bank as quick as they can go to Wells Fargo.

He further stated that he hopes there is an attempt to get a City National Bank ATM in a city facility or small branch in the city.

Manager Pate said that will be his goal based on the request.

Mayor Pigatt thanked the City Manager for catching this and encouraged him to continue to bring these types of items to the Commission's attention so that they can make sure they are responsive to all the issues that have been plaguing the city and also we are being intentional about putting financial controls in place over all of the finances.

There being no further discussion, the motion passed by a 5-0 vote.

Vice Mayor Davis	Yes
Commissioner Kelley	Yes
Commissioner Bass	Yes
Commissioner Burke	Yes
Mayor Pigatt	Yes

7. ADJOURNMENT:

There being no further business to come before the City Commission, it was moved by Commissioner Kelley to adjourn the meeting at 5:51 p.m.

Matthew A. Pigatt
Mayor

Attest:

Joanna Flores
City Clerk

